TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

ABC News market snapshot · RBA
5 November 2026

Dollar holds near 70 US cents as rates rise and commodities shift

> The Australian dollar barely moved on a day of big swings in global markets. Higher Australian interest rates support it, while mixed commodity prices and global risk appetite pull it in different directions.

WHAT HAPPENED

- The AUD was 70.12 US cents late on Thursday, up 0.1%.
- The RBA lifted the cash rate to 4.85% on 3 November, its highest level in 18 years.
- Iron ore rose 0.9% to US$92.80/t and LME copper was near US$14,000/t, but oil fell almost 9%.
- Global risk appetite improved after the US midterms: the Dow rose about 3% and the ASX 200 rose 2.6%.
- US 10-year bond yields were near 4.95%, which limits the gap between Australian and US interest rates.

70.12¢
AUD in US cents, late on 5 November

4.85%
RBA cash rate after the 3 November rise

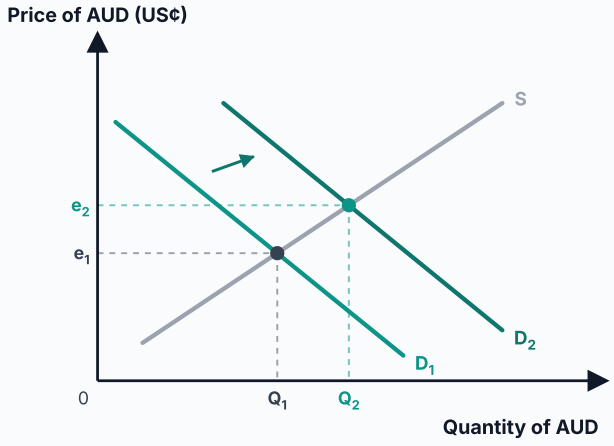
US$92.8/t
Iron ore price, up 0.9%

Interest rate differential: the gap between domestic and foreign interest rates, which drives capital flows

Appreciation: a rise in the value of the AUD against other currencies

DIAGRAM

Higher Australian rates and the market for AUD



A higher cash rate attracts **capital inflows**, so demand for AUD shifts from **D_1 to D_2** and the exchange rate rises from **e_1 to e_2**.

But at the same time, **lower energy export prices** reduce demand for AUD, and **US yields near 5%** limit the rate gap. The forces largely offset, so the AUD hardly moved.

Exam angle: When asked about the AUD, **name at least two forces**: the interest rate differential, commodity prices or terms of trade, and global risk sentiment. Then explain which one dominates.

SYLLABUS LINK

Topic 2 – Exchange rates: factors affecting the value of the AUD; Topic 4 – Monetary policy transmission through the exchange rate.

TRY THIS

1. Using a diagram, explain how an increase in the cash rate could affect the value of the AUD. **(4 marks)**
2. Explain two factors pulling the AUD in opposite directions in November 2026. **(4 marks)**

Read more: abc.net.au/news – business live 5 Nov · rba.gov.au/media-releases/2026/mr-26-30.html

Summary written in our own words for classroom use